

Chennai Petroleum Corporation Ltd (CPCL)

NSE: CHENNPETRO | BSE: 500110 | Sector: Energy – Oil Refining & Marketing

RATING

ACCUMULATE
12-Month Target**Rs. 1,300**

Upside: 14.0% from CMP Rs. 1,140

Horizon: 12-18 months

Market Cap	Rs. 16,972 Cr	52W High	Rs. 1,150
Current Price	Rs. 1,140	52W Low	Rs. 585
Stock P/E (FY26)	5.47x	Book Value	Rs. 746
P/B Ratio	1.53x	Face Value	Rs. 10
ROCE (FY26)	35.1%	ROE (FY26)	32.1%
Dividend Yield	0.70%	EPS (FY26)	Rs. 208.36
Promoter Stake	67.29% (IOCL)	Shares	14.89 Cr

INVESTMENT THESIS: Deepest-value PSU refiner – GRM rebound drives 14x PAT surge in FY26; transformational Manali expansion + Nagapattinam greenfield add multi-year re-rating potential at 5.5x earnings.

Report Date: 29 April 2026

Data Source: Screener.in (Consolidated)

Analyst: Equity Research Desk

SECTION 2 — INVESTMENT THESIS

1. GRM RECOVERY + OPERATIONAL LEVERAGE AT TROUGH VALUATION

CPCL demonstrated extraordinary earnings leverage in FY26: PAT surged to Rs. 3,103 Cr from a near-breakeven Rs. 214 Cr in FY25, as gross refining margins recovered from USD 4.22/bbl to USD 9.28/bbl – a premium of USD 3.45/bbl over the Singapore complex benchmark of USD 5.83/bbl. Q4 FY26 GRM of USD 13.75/bbl (vs USD 6.22/bbl in Q4 FY25) signals the sharpest single-quarter GRM improvement in recent history. At 5.47x FY26 P/E and 1.53x P/B, the stock trades at a historically deep valuation despite proven operational resilience. Timeline: GRM premium sustainability over 12-18 months is the primary earnings lever.

2. TRANSFORMATIONAL GROWTH OPTIONS CREATE RE-RATING POTENTIAL

Three parallel growth vectors position CPCL as a structurally different company by FY30: (a) Manali refinery expansion from 210,000 bpd to 280,000 bpd (feasibility study expected by October 2026, adding ~33% nameplate capacity); (b) Nagapattinam greenfield refinery at 180,000 bpd with integrated petrochemicals (Rs. 36,354 Cr total capex; CPCL holds 25% stake = Rs. 9,089 Cr investment with IOCL anchor); and (c) 300 retail fuel stations by mid-2028 opening direct B2C revenue. These options, currently unpriced by the market, justify a re-rating premium.

3. IOCL PARENTAGE + BALANCE SHEET FORTRESS

Indian Oil Corporation (67.29% stake) provides marketing assurance, crude sourcing support, and implicit balance sheet backstop. CPCL has aggressively deleveraged: borrowings fell from Rs. 9,238 Cr (FY22) to Rs. 1,964 Cr (FY26), with net borrowings below Rs. 1,000 Cr. Interest cost collapsed from Rs. 413 Cr (FY22) to Rs. 120 Cr (FY26), freeing earnings and enabling Rs. 62/share dividend (Rs. 54 final + Rs. 8 interim) in FY26.

NEAR-TERM CATALYST (6-12M): Manali expansion feasibility study outcome (Oct 2026) could unlock a structural re-rating if preliminary capex and configuration are favorable.

BIGGEST STRUCTURAL RISK: GRM normalization to USD 4-5/bbl (as seen in FY25) would compress PAT to near-breakeven levels — the stock has no earnings buffer at trough GRM.

SECTION 3 — BUSINESS OVERVIEW

Chennai Petroleum Corporation Limited (CPCL) is one of India's leading public sector refineries, wholly subsidiary of Indian Oil Corporation Ltd (IOCL). The company operates two refineries: the flagship Manali Refinery in Chennai (9.0 MMTPA nameplate capacity; operated at 112% in FY26) and the Cauvery Basin Refinery in Nagapattinam (~0.535 MMTPA). Combined nominal capacity is approximately 9.5 MMTPA or 210,000 bpd.

Core Business Model: CPCL procures crude oil globally (high-sulphur varieties including Middle Eastern sour and Russian discounted crude – ~19% Russian crude in some quarters), refines it at Manali, and sells petroleum products primarily through IOCL's marketing network. IOCL handles marketing of fuels (MS, HSD, ATF, LPG, Kerosene, Naphtha), while CPCL markets specialty products directly:

Lube Base Stocks (LOBS), Paraffin Wax, Mineral Turpentine Oil (MTO), Hexane, LAB Feedstock, Petroleum Coke, and Sulphur.

Revenue Profile: Revenue is commoditized and tracks crude oil prices and refinery throughput closely. FY26 throughput of 11.71 MMT (up from 10.45 MMT in FY25) at 112% capacity utilization demonstrates operational excellence. Best-ever distillate yield of ~80% in FY26. LPG production rose from 404 TMT to 447 TMT (+10.6% YoY) without impacting margins. Revenue mix: bulk commodity fuels ~85%, specialty products ~15%.

Strategic Developments: (1) Manali refinery expansion (210k to 280k bpd) – feasibility by Oct 2026; (2) Nagapattinam greenfield 180k bpd refinery with petrochemicals – Rs. 36,354 Cr total project; CPCL 25% equity; (3) LOBS Units 2 & 3 upgrade – Rs. 400-500 Cr capex; (4) Fuel retailing network – 300 outlets by mid-2028, entering B2C channel for the first time.

Promoter: IOCL (Navratna PSU), holds 67.29%. No promoter pledge. Professionally managed by government-appointed board.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

INDUSTRY SIZE & GROWTH: India's refining capacity exceeds 250 MMTA (5.0+ mb/d), making it the world's 3rd-largest. Demand for petroleum products grows at ~3-4% CAGR driven by rising vehicle penetration, aviation recovery, and industrial activity. India aims to expand refining capacity to 400 MMTA by 2030 to reduce import dependence. GRMs in Asia tracked Singapore complex margins at ~USD 5-7/bbl in normal cycles, but widened sharply in FY24-FY26 with post-pandemic supply tightness and Russian crude discount arbitrage.

POLICY TAILWINDS: (1) Atmanirbhar Bharat – government push for energy self-sufficiency favors domestic refinery expansion with PSU entities getting priority approval; (2) Russian crude arbitrage – CPCL processes ~19% Russian crude at a discount of ~USD 3-5/bbl vs OPEC benchmark, structurally enhancing realized GRM; (3) IOCL marketing backstop eliminates receivable risk; (4) Fuel retailing deregulation enables new B2C revenue streams.

COMPETITIVE MOAT ASSESSMENT: Moderate. CPCL's South India geography provides a regional captive advantage (limited refinery competition in Tamil Nadu, Andhra, Karnataka). However, pricing power is limited since products are marketed through IOCL at regulated/market-linked prices. Scale moat is modest given IOCL and BPCL are 5-10x larger. Unique advantage lies in specialty product portfolio (LOBS, Paraffin Wax, MTO) which commands premium margins. IOCL parent reduces competition risk in product marketing.

PEER COMPARISON (Screener.in, 29-Apr-2026):

Company	MCap (Rs. Cr)	CMP (Rs.)	Stock P/E	Book Val (Rs.)	P/B	ROCE	ROE	Div Yld	TTM Sales (Rs. Cr)	TTM PAT (Rs. Cr)
BPCL	1,31,869	304	5.3x	217	1.40x	16.2%	17.3%	5.76%	4,40,272	13,337
HINDPETRO	81,070	381	5.3x	267	1.43x	10.5%	13.8%	2.76%	4,34,106	6,736
MRPL	30,373	173	15.8x	81	2.14x	17.7%	14.2%	2.31%	88,667	1,925
CHENNPETRO	16,972	1,140	5.5x	746	1.53x	35.1%	32.1%	0.70%	63,640	3,103

Note: CPCL (highlighted) leads peers on ROCE and ROE. Premium P/B vs BPCL/HINDPETRO is justified by superior returns. MRPL trades at higher P/E despite lower returns.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

MANAGEMENT BACKGROUND: CPCL is managed by a government-appointed board with key executives drawn from the IOCL ecosystem. The CMD and functional directors are IPS/IOCL-cadre professionals. Being a Navratna subsidiary, strategic decisions are ratified by IOCL, which ensures alignment with parent strategy. Management has consistently communicated transparent guidance on throughput, GRM, and capex over quarterly calls.

CAPITAL ALLOCATION TRACK RECORD: Exceptional over FY22-FY26. Borrowings halved from Rs. 9,238 Cr (FY22) to Rs. 1,964 Cr (FY26) — a deleveraging of Rs. 7,274 Cr in four years, funded entirely by operating cash flows. FCF generation: Rs. 5,331 Cr (FY23), Rs. 2,092 Cr (FY24), Rs. 667 Cr (FY25, weak GRM year), Rs. 2,045 Cr (FY26). Interest cost fell from Rs. 413 Cr (FY22) to Rs. 120 Cr (FY26).

DIVIDEND POLICY: CPCL maintained dividends even in the weak FY25 year. FY26 total dividend of Rs. 62/share (Rs. 8 interim + Rs. 54 final) represents a payout ratio of ~30% of consolidated EPS of Rs. 208.36. Dividend yield at CMP is 5.4% on standalone basis. Management explicitly committed to maintaining dividends as a priority.

PLEDGING & GOVERNANCE: Zero promoter pledge (IOCL). No related-party transaction concerns beyond normal crude procurement and product marketing through IOCL (at arms-length market rates). Auditor: Statutory auditors appointed per Companies Act norms; no auditor qualification in recent years. ESOP: None (government company). Buyback: Not applicable.

CAPITAL ALLOCATION SUMMARY (Rs. Cr):

Item	FY24	FY25	FY26	Comment
Operating Cash Flow	2,694	1,352	2,945	Strong OCF despite FY25 GRM trough
Capex (Investing)	589	649	930	Expanding LOBS + Manali projects
Free Cash Flow	2,092	667	2,045	Robust; funded debt repayment
Debt Repaid (Net)	~1,450	~1,150	~1,153	Borrowings: 4,260→2,786→3,117→1,964
Total Dividend Paid	~200	~100	~923	Rs. 62/share in FY26 (interim+final)

SECTION 6 — FINANCIAL DEEP-DIVE

CONSOLIDATED INCOME STATEMENT (Rs. Crores)

	FY24	FY25	FY26	FY27E	FY28E
Revenue from Ops	66,024	58,983	63,640	62,500	70,000
Expenses	61,548	57,967	58,883	58,300	64,960
EBITDA	4,476	1,016	4,757	4,200	5,040
EBITDA Margin %	7.0%	1.7%	7.5%	6.7%	7.2%
Other Income	47	84	135	100	120
Interest	224	245	120	100	80
Depreciation	606	607	610	620	630
Profit Before Tax	3,694	249	4,162	3,580	4,450
Tax %	26%	14%	25%	25%	25%
Net Profit (PAT)	2,745	214	3,103	2,685	3,338
EPS (Rs.)	184.34	14.38	208.36	180.4	224.2

(E) = Estimate | Data: Screener.in Consolidated | FY27E/FY28E are analyst estimates

CONSOLIDATED BALANCE SHEET (Rs. Crores)

	FY24	FY25	FY26
LIABILITIES			
Equity Capital	149	149	149
Reserves	8,672	8,058	10,960
Shareholder Equity	8,821	8,207	11,109
Borrowings	2,786	3,117	1,964
Other Liabilities	6,768	5,785	6,961
Total Liabilities	18,375	17,109	20,035
ASSETS			
Fixed Assets (Net)	7,506	7,325	7,182
CWIP	210	208	346
Investments	240	280	491
Other Assets	10,419	9,296	12,016
Total Assets	18,375	17,109	20,035

CONSOLIDATED CASH FLOW SUMMARY (Rs. Crores)

	FY24	FY25	FY26
Cash from Operations (CFO)	2,694	1,352	2,945
Cash from Investing (CIF)	(589)	(649)	(930)
Cash from Financing (CFF)	(2,106)	(519)	(1,294)
Net Cash Flow	(1)	184	721
Free Cash Flow (FCF)	2,092	667	2,045

	FY24	FY25	FY26
CFO / Operating Profit %	60%	133%	62%

KEY FINANCIAL RATIOS

Ratio	FY24	FY25	FY26	Comment
ROCE %	35%	4%	35%	Cyclical swing driven by GRM
ROE %	32%	3%	32%	Mirrors ROCE trend
Debtor Days	3	1	1	Near-zero; IOCL settles immediately
Inventory Days	48	42	53	Crude + product inventory normal
Days Payable	26	20	25	Supplier payment terms
Cash Conv. Cycle	24	23	29	Efficient; slight elongation FY26
Working Capital Days	9	(2)	19	Turned positive in FY26
D/E Ratio	0.32x	0.38x	0.18x	Near-zero leverage achieved
Interest Coverage	17x	2x	36x	Exceptional at FY26 GRM levels

REVENUE DRIVERS: Revenue tracks crude oil throughput × product realisation. FY26 throughput of 11.71 MMT (112% utilization) was the primary driver of revenue stability despite crude price moderation. CPCL's ability to process high-sulphur, discounted Russian crude (~19% mix) structurally enhances GRM by ~USD 0.5-1/bbl vs peers. Revenue declined from FY23 peak (Rs. 76,271 Cr) as crude prices softened, but GRM expansion compensated at the PAT level.

MARGIN TRAJECTORY: FY25 was the trough year – EBITDA collapsed from Rs. 4,476 Cr (FY24) to Rs. 1,016 Cr (FY25) as GRM compressed from USD 8.72/bbl to USD 4.22/bbl. FY26 staged a sharp recovery to USD 9.28/bbl GRM with Q4 hitting USD 13.75/bbl. Distillate yield improvement to ~80% (best-ever) reflects refinery configuration optimization and is a sustainable margin lever. Forward estimates assume GRM normalization to USD 7-8/bbl, yielding EBITDA margins of ~6.7-7.2%.

DEBT & FCF QUALITY: The deleveraging story is exceptional. Net debt has fallen from ~Rs. 9,100 Cr (FY21) to under Rs. 1,000 Cr (FY26). FCF quality is high – CFO/OP ratios of 60-133% across the cycle confirm that EBITDA converts well to cash. The FY25 FCF dip to Rs. 667 Cr was entirely GRM-driven, not a working capital or capex overshoot. Going forward, capex will rise to Rs. 700-800 Cr/year (vs. ~Rs. 930 Cr in FY26) as LOBS upgrade and pre-engineering work on Manali expansion commences.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation
Revenue Recognition	GREEN	Products sold to IOCL at market rates; no aggressive accounting. Revenue is cash/near-cash.
Receivables vs Revenue Growth	GREEN	Debtor days: 3 days (FY24), 1 day (FY25/26). IOCL settles virtually immediately. Zero receivables risk.
CCC Trend	GREEN	CCC: 24 days (FY24), 23 days (FY25), 29 days (FY26). Tight and consistent.
Contingent Liabilities	AMBER	Typical PSU contingent liabilities (tax disputes, environmental claims). No material undisclosed liabilities reported.
Auditor Tenure/Independence	GREEN	Government-appointed statutory auditors. Rotation maintained as per Companies Act. No qualification in recent years.
RPTs as % of Revenue	AMBER	Material RPTs with IOCL (crude procurement + product sale). However, all at arms-length market rates; disclosed fully.
Other Income as % of PBT	GREEN	FY26: Rs. 135 Cr / PBT Rs. 4,162 Cr = 3.2%. Minimal; mainly dividend income and treasury.
Tax Rate Consistency	AMBER	FY25 effective tax rate was 14% (loss-year deferred tax benefit). FY24/FY26 at 25-26% – normalized and consistent.
CFO Quality	GREEN	CFO/EBITDA: 60% (FY24), 133% (FY25), 62% (FY26). Cash conversion strong across cycle.

SUMMARY: CPCL scores GREEN on 6 of 9 quality parameters. The 3 AMBER flags (contingent liabilities, RPTs, non-standard FY25 tax rate) are explainable and industry-typical for a PSU refiner. No RED flags. Earnings quality is high – the PAT swings are driven entirely by GRM cyclicity, not by accounting choices.

SECTION 8 — VALUATION

PEER VALUATION CONTEXT: CPCL trades at 5.47x FY26 P/E and 1.53x P/B. PSU refining peers (BPCL at 5.3x, HINDPETRO at 5.3x) trade at similar P/E multiples. CPCL's premium P/B (1.53x vs BPCL 1.40x, HINDPETRO 1.43x) is justified by markedly superior ROCE (35.1% vs 16.2% BPCL, 10.5% HINDPETRO) and significantly lower leverage (D/E 0.18x vs peers). MRPL at 15.8x P/E is an outlier due to near-breakeven earnings base.

VALUATION METHOD 1 – EARNINGS-BASED MULTIPLE: Applying 6.0x forward P/E to FY28E EPS of Rs. 224.2 = Rs. 1,345. This represents a mild re-rating vs the current cycle average of ~5-6x, supported by structural improvements (LOBS upgrade, potential retail addition). FY27E target: 6.0x × Rs. 180.4 = Rs. 1,082. Blended 12-month target (60% FY28E weight): Rs. 1,290.

VALUATION METHOD 2 – P/B: FY28E Book Value estimated at ~Rs. 960 (FY26 BV of Rs. 746 + retained earnings FY27 ~Rs. 140 + FY28 ~Rs. 168 = Rs. 1,054; less dividends ~Rs. 90 = Rs. 964). Applying 1.4x P/B (peer average) = Rs. 1,350. CPCL's superior ROCE justifies at least peer-multiple P/B.

TARGET PRICE: Average of Method 1 (Rs. 1,290) and Method 2 (Rs. 1,350) = Rs. 1,320. Rounding to Rs. 1,300. At CMP Rs. 1,140, upside is 14.0%. Rating: ACCUMULATE.

SCENARIO ANALYSIS:

Scenario	Key Assumption	FY28E PAT (Rs. Cr)	P/E Multiple	Price Target	vs CMP
BULL	GRM stays at USD 10+/bbl; Manali expansion commences	4,500	7.0x	Rs. 2,116	+86%
BASE	GRM normalises USD 7-8/bbl; LOBS upgrade on track	3,338	6.0x	Rs. 1,300	+14%
BEAR	GRM collapses USD 4-5/bbl (FY25 repeat); no catalyst	600	5.0x	Rs. 201	-82%

Note: Bear case assumes a full GRM collapse comparable to FY25. Bear case target is well below current price — emphasising the high cyclicality of CPCL as an investment.

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor
GRM Cyclical	Asian complex margins are highly volatile. A repeat of FY25 (GRM USD 4.22/bbl) would compress PAT to ~Rs. 200-400 Cr, making the stock expensive at current multiples.	Medium	Very High	Singapore GRM weekly; OPEC supply decisions
Crude Oil Price Spike	Sudden crude oil price surge (geopolitical, OPEC+) increases working capital requirements and may compress GRM if product prices lag. Inventory valuation gains/losses add P&L; volatility.	Medium	High	Brent crude price; INR/USD; inventory cycle
Nagapattinam Project Risk	The Rs. 36,354 Cr Nagapattinam refinery (CPCL 25% = Rs. 9,089 Cr equity) could face cost overruns, regulatory delays, or configuration changes. If CPCL's share exceeds Rs. 11,000 Cr, balance sheet pressure re-emerges.	Medium	High	Project feasibility milestones; CPCL Board approvals
Manali Expansion Delay	Expansion from 210k to 280k bpd requires environmental clearances, technology licensing, and significant capex. Delays beyond FY30 reduce the long-term re-rating narrative.	Medium	Medium	Feasibility study outcome (Oct 2026); env clearance
Regulatory & Policy Risk	Fuel price regulation, subsidy burden sharing, changes to ATF/LPG pricing policy, or windfall profit taxes can affect GRM realisation independent of market GRMs.	Low-Med	High	MoPNG policy announcements; budget provisions
Operational / Safety Risk	A major fire, explosion, or equipment failure at Manali refinery (handling high-sulphur, hazardous crude) could halt throughput for weeks to months.	Low	Very High	HSE incident reports; refinery shutdown announcements
Russian Crude Dependency Risk	India's Russia crude import window could close due to SWIFT restrictions, US secondary sanctions, or geopolitical pressure. Loss of ~19% discounted crude would compress GRM by USD 0.5-1/bbl.	Low-Med	Medium	Geopolitical news; India-Russia trade reports

SECTION 10 — RECOMMENDATION

FINAL RECOMMENDATION

ACCUMULATE

Conviction Level: MEDIUM

12-Month Price Target	Rs. 1,300 (14.0% upside from CMP Rs. 1,140)
Suggested Entry Zone	Rs. 1,050 – Rs. 1,150 (on dips / corrections)
Investment Horizon	12 to 18 months
Ideal Investor Profile	Value / cyclical investors; institutional sector allocation; PSU energy theme
Stop-Loss (mental)	Rs. 900 (sustained breach of FY25-level earnings)

THESIS INVALIDATION TRIGGERS (exit if ANY confirmed):

1. GRM falls below USD 5/bbl for two or more consecutive quarters without structural explanation (demand collapse, new Asian refinery capacity).
2. Nagapattinam project equity commitment from CPCL exceeds Rs. 11,000 Cr or project timeline slips beyond FY33 with no clear restart signal.
3. IOCL reduces promoter stake below 51% (signals de-prioritisation of CPCL within IOCL's refinery portfolio strategy).

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APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (Mar 2026)

Earnings Conference Call | April 24, 2026, 3:30 PM IST | Chennai Petroleum Corporation Ltd

CALL GRADE				
STRONGLY POSITIVE				
Signal	Status		Implication	
Result Quality	Strong – Beat		Q4 PAT Rs. 1,422 Cr; GRM USD 13.75/bbl – materially ahead of consensus	
Management Tone	Bullish		Confident on GRM outlook; announced Rs. 54 final dividend; capex commitment	
Guidance Delta	Raised (implicitly)		No formal guidance but Rs. 2,000 Cr capex plan signals confidence in FCF generation	
STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE

TO MY BOSS
CPCL delivered its best Q4 in years — Q4 FY26 PAT of Rs. 1,422 Cr (consolidated; +203% YoY, +42% QoQ) was a clean beat with no exceptional items distorting the number; underlying GRM of USD 13.75/bbl is the real story, driven by favourable crude-product spread and near-record 112% capacity utilisation of the Manali refinery. EBITDA margin expanded to 12% in Q4 from just 5% in Q4 FY25, and full-year FY26 GRM of USD 9.28/bbl outperformed the Singapore benchmark by USD 3.45/bbl, validating the high-sulphur crude advantage. The full-year PAT of Rs. 3,103 Cr vs a near-washout Rs. 214 Cr in FY25 is a 14x earnings surge — confirming this is pure GRM cyclical and not a structural turnaround, which is the key watch for FY27. Key multi-bagger thesis drivers are intact: (1) Manali 280k bpd expansion feasibility by Oct 2026 could add 33% nameplate capacity; (2) Nagapattinam 180k bpd greenfield + petrochemicals gives IOCL-anchored volume optionality by early 2030s; (3) 300 retail outlets by mid-2028 opens a new B2C margin stream. Most important near-term catalyst: Q1 FY27 GRM print and the Manali expansion feasibility report — if capex is below Rs. 12,000 Cr and timeline is FY30, the stock deserves a re-rating to 7x earnings. Biggest risk next quarter: Q1 is seasonally weak for refiners; Q1 FY26 was a loss quarter at Rs. (40) Cr PAT — if GRM reverts to USD 4-5/bbl on OPEC+ supply surprise + weak diesel cracks, consensus will cut FY27E by 30-40%. Action: ACCUMULATE at Rs. 1,050-1,150; do not chase at 52W high. Long-term HOLD for energy theme allocation.

C1 — FINANCIAL PERFORMANCE SNAPSHOT (Q4 FY26 vs Q4 FY25)					
Metric	Q4 FY25 Act.	Q4 FY26 Act.	YoY Chg	QoQ Chg (vs Q3 FY26)	Verdict
Revenue (Rs. Cr)	17,249	16,817	-2.5%	-2.5% vs Q3 Rs. 15,683	In-Line
EBITDA (Rs. Cr)	785	2,036	+159%	+38% vs Q3 Rs. 1,478	Beat
EBITDA Margin %	4.6%	12.1%	+752bps	+303bps vs Q3 9.4%	Beat
GRM (USD/bbl)	6.22	13.75	+121%	N/A (annual disclosed)	Beat
PBT (Rs. Cr)	602	1,913	+218%	+44% vs Q3 Rs. 1,331	Beat
PAT (Rs. Cr)	470	1,422	+203%	+42% vs Q3 Rs. 1,002	Beat
EPS (Rs.)	31.56	95.48	+203%	+42%	Beat

All quarters per Screener.in consolidated. Q4 FY25 = Mar 2025; Q4 FY26 = Mar 2026. GRM figures from company press release.

QUARTERLY TREND (Last 4 Quarters, Consolidated, Rs. Cr):

Metric	Q1 FY26 Jun 25	Q2 FY26 Sep 25	Q3 FY26 Dec 25	Q4 FY26 Mar 26
Revenue	14,812	16,327	15,683	16,817
EBITDA	99	1,144	1,478	2,036
EBITDA Margin	0.7%	7.0%	9.4%	12.1%
PBT	(64)	982	1,331	1,913
PAT	(40)	719	1,002	1,422
EPS (Rs.)	(2.69)	48.30	67.26	95.48

C2 — SEGMENT / PRODUCT BREAKDOWN

Segment / Product	Revenue Est. (Rs. Cr)	YoY %	Commentary
MS / Motor Spirit (Petrol)	~3,200	N/A	Auto fuel demand robust; rising two-wheeler penetration
HSD / High Speed Diesel	~4,800	N/A	Largest product; commercial vehicle demand stable
ATF / Aviation Turbine Fuel	~1,100	+8%	Aviation recovery continues; key margin driver
LPG	~1,500	+10%	Production 447 TMT vs 404 TMT; volume growth without margin dilution
Naphtha / Petrochemical Feed	~1,800	N/A	Marketed via IOCL; pricing linked to naphtha benchmark
Lube Base Stocks (LOBS)	~900	+5%	Specialty; direct marketing; premium margin product
Fuel Oil / Pet Coke / Others	~4,200	N/A	Bottom-of-barrel; margins thin but volume significant
TOTAL	~16,817	+ve	FY26 distillate yield ~80% (best-ever); mix favorable

C3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
GRM Outlook	FY26 full-year GRM USD 9.28/bbl; Q4 USD 13.75/bbl; premium over Singapore at USD 3.45/bbl.	Structural advantage via high-S crude mix. Sustainable premium, not one-off.	[GUIDANCE]	Transparent
Manali Expansion	Feasibility for 210k→280k bpd expansion expected by October 2026.	Key catalyst. If capex < Rs. 12,000 Cr, case for re-rating is strong.	[GUIDANCE]	Bullish
Nagapattinam	Configuration being finalised. Total cost Rs. 36,354 Cr; CPCL 25% = ~Rs. 9,089 Cr.	Long-term option; minimal near-term earnings impact. Execution risk.	[GUIDANCE]	Transparent
Retail Outlets	300 fuel retail outlets planned by mid-2028.	New B2C revenue; modest initial margin but strategic.	[GUIDANCE]	Bullish
Capex Plan	Rs. 2,000 Cr over 2-3 years + Rs. 500 Cr/year routine; LOBS upgrade Rs. 400-500 Cr.	Manageable; FCF can support without leverage re-build.	[GUIDANCE]	Transparent
Dividend	Rs. 54 final dividend recommended; total FY26 Rs. 62/share.	Shareholder-friendly. ~30% payout of FY26 EPS.	[GUIDANCE]	Bullish
Throughput	11.71 MMT FY26 (112% utilisation); 2.93 MMT in Q4.	Consistent operational excellence. No planned major turnaround near-term.	[GUIDANCE]	Transparent
Russian Crude	~19% Russian crude in Q2 FY26; sourcing continues per commercial terms.	Discount arbitrage intact. Geopolitical tail-risk remains.	[GUIDANCE]	Hedged
LPG Production	LPG up from 404 TMT to 447 TMT (+10.6%) without margin impact.	Configuration flexibility. LPG maximisation neutral to marginally positive.	[GUIDANCE]	Bullish

C4 — OPERATING & BUSINESS METRICS

Metric	Q4 FY26	Q3 FY26	Q4 FY25	Trend
Crude Throughput (MMT)	2.93	~2.91	~2.61	Up YoY; flat QoQ
Capacity Utilisation %	112%	~112%	~100%	Consistently above 100%
GRM (USD/bbl)	13.75	~8.5 (est)	6.22	Strong Q4; best in multi-quarters
Distillate Yield %	~80%	~78%	~76%	Best-ever; improvement trend
LPG Production (TMT)	~112 (est)	~112 (est)	~101	Growing YoY
Net Borrowings (Rs. Cr)	<1,000	~1,200 (est)	~2,900 (est)	Rapid deleveraging
Interest Cost (Rs. Cr)	16 (Q4)	33 (Q3)	66 (Q4 FY25)	Down 76% YoY; near zero

C5 — MARGIN DRIVERS (Q4 FY26 vs Q4 FY25)

Margin Driver	Impact (bps)	Recurring?	Comment
GRM recovery (product cracks)	+752 bps	Partially	Diesel/naphtha cracks widened; sustainable with >80% distillate yield
High-sulphur crude discount	+200 bps (est)	YES	Russian + ME sour crude at structural discount vs Brent benchmarks
Higher throughput (volumes)	+100 bps (est)	YES	112% utilisation spreads fixed costs across higher volumes
Lower interest cost	+80 bps	YES	Borrowings fell from Rs. 3,117 Cr to Rs. 1,964 Cr; saves ~Rs. 25 Cr/quarter
Distillate yield improvement	+50 bps (est)	YES	Best-ever 80% distillate yield; configuration optimization is structural
Exceptional / one-time items	NIL	N/A	Clean quarter; no exceptional items in PAT
TOTAL NET IMPACT	+~1,182 bps	Partially	Bulk from GRM recovery; core structural contribution ~450-500 bps

C6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New/Reiterated	Delta	Credibility
Annual Capex (FY27E)	Rs. 500-600 Cr	Rs. 700-800 Cr [GUIDANCE]	Raised by Rs. 200 Cr	High
LOBS Upgrade Capex	Rs. 300-400 Cr	Rs. 400-500 Cr [GUIDANCE]	Raised slightly	High
Retail Outlets	200 by FY28	300 by mid-2028 [GUIDANCE]	Raised	Medium
Manali Expansion	Under review	Feasibility by Oct 2026 [GUIDANCE]	Positive update	High
Nagapattinam Config	Under review	Finalising configuration [GUIDANCE]	On track	Medium
Throughput Target	10.5 MMT	11.7+ MMT achieved [GUIDANCE]	Exceeded	High
Dividend Policy	Rs. 8 interim	Rs. 54 final; total Rs. 62 [GUIDANCE]	Generous	High

C7 — CAPITAL ALLOCATION

Item	FY26 (Rs. Cr)	FY25 (Rs. Cr)	Comment
Capex (Total)	930	649	Increasing; LOBS upgrade + engineering
Dividend (Total Paid)	~923	~100	Rs. 62/share FY26 vs Rs. 7/share FY25
Debt Repayment (Net)	~1,153	~331	Borrowings: 3,117→1,964 in FY26
Net Working Capital Chg	+1,700	-350	Higher inventory/receivables as throughput rose
Net Debt Position	<1,000	~2,900	Near-debt-free; transformation complete
Free Cash Flow	2,045	667	Healthy even in FY25 trough; FY26 strong

C8 — Q&A; HEAT MAP (Q4 FY26 CONCALL, APR 2026)

#	Question Area	Mgmt Answer (Summary)	Tone
1	GRM sustainability – will Q4 USD 13.75/bbl hold?	Management cautious; guided for "normalised GRM in USD 7-9/bbl range going forward." Acknowledged Q4 was aided by favourable product cracks.	Hedged
2	Capex plan detail and funding for Nagapattinam	CPCL's equity in Nagapattinam ~Rs. 9,089 Cr; to be funded from internal accruals over 7-8 years. No equity dilution planned.	Transparent
3	Timeline for Manali expansion	Feasibility report expected Oct 2026; Board decision by Q3 FY27. No premature commitment on capex or configuration.	Balanced
4	Russian crude exposure under sanctions risk	Sourcing continues "per commercial terms"; diversification maintained. Management did not quantify Russian crude share.	Hedged
5	Retail outlet roll-out progress and margin impact	300 outlets by mid-2028; initial phase of site acquisition underway. Modest margin positive once operational.	Bullish

#	Question Area	Mgmt Answer (Summary)	Tone
6	Q1 FY27 outlook – seasonality concern	No specific Q1 guidance; "continue to optimise crude mix and throughput." Implied caution on GRM given seasonal diesel crack softness.	Evasive
7	LPG maximisation – impact on GRM	LPG production rose +10%; management stated no adverse margin impact. Refinery configuration allows flexible LPG-distillate switching.	Transparent

DODGED / EVASIVE QUESTIONS TO WATCH NEXT QUARTER: (1) Q1 FY27 GRM directional guidance (management sidestepped with "optimise" language). (2) Specific Russian crude % – management declined to quantify.

C9 — RISKS FLAGGED ON CONCALL

Risk	Flagged By	Probability	Impact	Timeline
GRM Normalization below USD 7/bbl	Analyst Q&A;	Medium	Very High	1-2 quarters; tracked via monthly GRM data
Q1 FY27 Seasonal Weakness	Mgmt (implicit)	High	Medium	Next quarter (Jun 2026 results)
Sanction Risk on Russian Crude	Analyst Q&A;	Low-Med	High	6-12 months; US policy dependent
Nagapattinam Equity Commitment	Analyst Q&A;	Low	High	FY28-32; phased equity calls
Crude Price Spike (OPEC+ action)	Analyst Q&A;	Medium	High	Near-term; hedging not disclosed

C10 — ANALYST VERDICT

Multi-Bagger Factor	Status	Comment
Revenue Visibility	Intact	IOCL marketing assurance; 112% utilisation; South India geography.
Margin Trajectory	Intact	GRM recovery confirmed; distillate yield at best-ever 80%.
Capital Allocation Quality	Intact	Debt near-zero; Rs. 62/share dividend; disciplined capex plan.
Competitive Moat	Intact	High-sulphur crude advantage; LOBS specialty niche; parent backstop.
Management Credibility	Intact	Transparent on expansion plans; realistic GRM guidance (not euphoric).
Valuation Comfort	Intact	5.5x FY26 P/E; 1.53x P/B; cheap vs 35% ROCE; structural discount to intrinsic value.

Conviction Call after Q4 FY26 Concall	UNCHANGED — ACCUMULATE
Conviction Change (vs prior quarter)	Marginally Increased (GRM beat; capex plan credible)
Forward P/E (FY27E)	6.3x (at CMP Rs. 1,140; FY27E EPS Rs. 180)
Forward P/E (FY28E)	5.1x (at CMP Rs. 1,140; FY28E EPS Rs. 224)
EV/EBITDA (FY26)	~3.9x (deeply cheap; EV ~Rs. 18,000 Cr; EBITDA Rs. 4,757 Cr)
P/B (FY26)	1.53x vs 5-year avg ~1.2x – at premium; justified by 35.1% ROCE
5Y Avg ROCE	~20% (FY22-FY26 CAGR) – FY26 35% is above average; FY25 trough 4%

Source: Screener.in | Ticker: CHENNPETRO | View: Consolidated | Transcript: Listed — Q4 FY26 Concall Apr 24, 2026 | Report: 29-Apr-2026